IPR as a strategic tool for companies

From filing to enforcement passing through secondary markets for technologies

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Prof. Grazia Sveva Ascione · Monday 19 October 2026

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Today's lecture

01 The choices an applicant makes

02 Patent applicants: practicing and non-practicing entities

03 Non-practicing entities (1): universities

04 Non-practicing entities (2): companies

05 Strategic choices after grant (1): patent litigation

06 Strategic choices after grant (2): licensing

The life and choices of a patent application (I)

Invention
Patent it, keep it secret, or publish it?

Priority filing
Which office first? How broad are the claims?

Search report
Still new and inventive? Amend or withdraw?

Foreign filings
Which countries? Paris route or PCT?

Publication
Withdraw before it, to keep the secret?

National phase
month 30–31 (PCT)
In which countries to pay for protection?

Examination and grant
about 3–5 years
Narrow the claims to obtain the grant?

Opposition window
9 months after grant (EPO)
Defend the patent, or oppose a rival's?

Maintenance
yearly fees, up to 20 years
Renew, license, sell, enforce, or let it lapse?

Choice 1 whether to patent

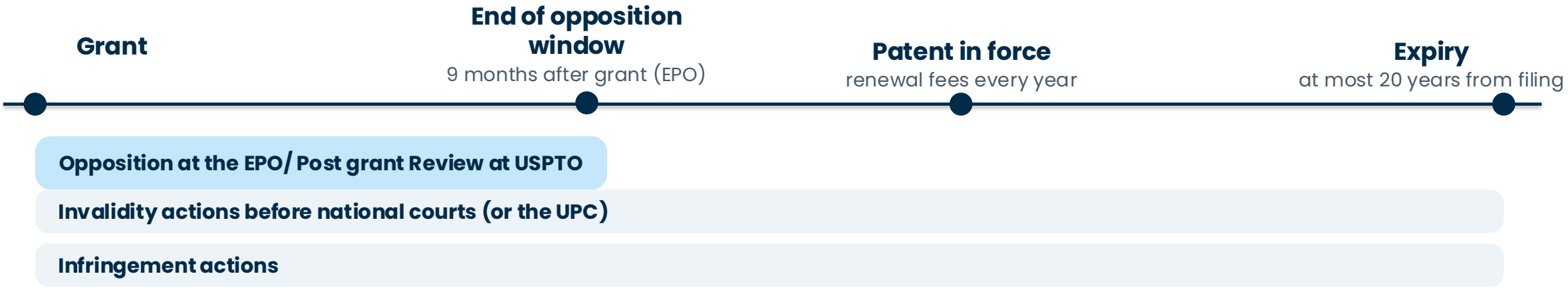
Choice 2 when and where to file

Choice 3 how to enforce it

Choice 4 who to deal with

The life and choices of a patent application (II)

Patent litigation is a legal dispute, before a court or a patent office, over whether **a patent is infringed** or whether it is **valid**. It can start at any moment between grant and expiry.



Infringement action

The owner sues someone who makes, uses, sells or imports the invention without permission, and asks for an injunction or damages.

Invalidity action

A rival, or any third party, asks the patent office or a court to revoke the patent because it should not have been granted, to remove a barrier to its own business.

The two often meet: the classic defence against an infringement action is a counterclaim of invalidity.

01

The choices an applicant makes

From the decision to file to the decision to sue

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Patent strategy is a sequence of choices

Every patent in a database is the result of four decisions

Choice 1

Whether to patent

Patent, keep secret, or rely on lead time?

Choice 2

When and where to file

Priority date, Paris or PCT route, which countries.

Choice 3

How to enforce it

Sue, threaten, settle: who to target and where.

Choice 4

Who to deal with

Secondary markets for technologies

Choice 1: whether to patent

Patenting pays when…

- the invention is easy to copy or reverse-engineer once on the market;
- infringement can be detected, so the right can be enforced;
- the value of exclusivity exceeds the cost of disclosure, fees and enforcement;
- the patent is useful in negotiations: licences, alliances, investors.

Alternatives

- **Secrecy:** best for processes that cannot be seen from the product.
- **Lead time and complementary assets:** being first, and owning production and distribution.
- **Remember Brunelleschi:** secrecy for the machines of the dome, a patent for the boat everybody could see.

Choosing to patent means choosing to disclose, and accepting that the value of the right will be tested in court.

Choice 2: when and where to file

Recap from the previous lecture: timing and geography decide what the patent can do later.

When

- **File early:** first-to-file systems reward whoever files first; any publication, even your own, can destroy novelty.

- **12 months of priority:** if you file national, you have 12 months to file in other offices if you are not using PCT. If you are going through the PCT, within the 12 months you have to file the PCT application and then you have 30 months to decide where to extend

Where

- **Rights are territorial:** no patent, no right to sue in that country.
- **Follow markets and rivals:** where you sell, where competitors produce, where the value chain ends.
- **Follow enforcement:** countries with strong courts make the right credible.
- **Mind the budget:** fees, translations and attorneys multiply with every country.

The countries in the family are the courts where the owner will be able to sue. Filing decisions are litigation decisions taken in advance.

Choice 3: from strategy to litigation

The right is probabilistic

A patent gives the right to try to exclude: its value depends on what a court would decide.

Where you filed is where you can sue

The family defines the jurisdictions; owners sue where protection is strong.

Claims define the battlefield

Broad, clear claims make design-around hard; vague claims invite disputes.

Deals are made in the shadow of court

Licences, settlements and acquisitions are priced on the threat of litigation.

02

Who is making those choices? Patent applicants/assignees: practicing and non-practicing entities

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Practicing and non-practicing entities

A practicing entity (PE) makes, uses or sells products or services based on its patented technologies. Its patents protect its own products and markets.

A non-practicing entity (NPE) owns patents but does not make or sell products based on them. It earns from its patents by licensing, selling or asserting them.

	Practicing entity	Non-practicing entity
Uses the invention	Yes: in its own products	No
What the patent is for	Exclusion: keep imitators out, protect margins	Revenue: licence fees, sale price, damages
Examples	Samsung, Siemens, Pfizer	Universities, Intellectual Ventures, InterDigital

The same patent is worth different things to the two: exclusion for the practicing entity, money for the non-practicing one. A producer can also act as an NPE with the part of its portfolio it does not use.

Two kinds of NPEs

NPEs differ in where their patents come from and in how they earn from them.

Universities and public research organizations

- **Patents come from** their own research.
- **They earn from** licences and spin-offs, occasionally litigation.
- **Their mission** is to transfer knowledge to the market, not to make a profit from patents.
- **Examples:** University of California, MIT, CNRS.

Companies that do not produce

- **Patents come from** the secondary market, where they buy or broker them; some do their own R&D.
- **They earn from** matching buyers and sellers (intermediaries), packaging portfolios (aggregators), or licensing demands and lawsuits (patent assertion entities, often called patent trolls).
- **Examples:** Ocean Tomo, RPX, Intellectual Ventures.

NB: Individual inventors are NPEs too: most of them license or sell their patents to one of these actors.

Question: publish or patent?

You built a new algorithm in your thesis. Your supervisor wants to present it at a conference next month, and a company has already asked to use it.

What do you do, and in which order?

A
Present it at the conference, then file a patent

B
File a patent application, then present it

C
Keep it secret and license the know-how to the company

D
Publish it openly: no patent at all

03

Non-practicing entities (1): universities

Public research vs private rights?

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Why universities are strategic actors too

A university is an NPE, but it faces the same choices as a firm, with different goals.

Whether to patent

The technology transfer office (TTO) screens invention disclosures and decides which ones deserve a patent.

Publish or patent first?

A paper published before filing destroys novelty in Europe: researchers must time their publications.

Where to file

Budgets are small: many university patents stop at the national filing.

How to exploit

Exclusive or non-exclusive licences, equity in spin-offs, deals with industry partners.

Whether to enforce

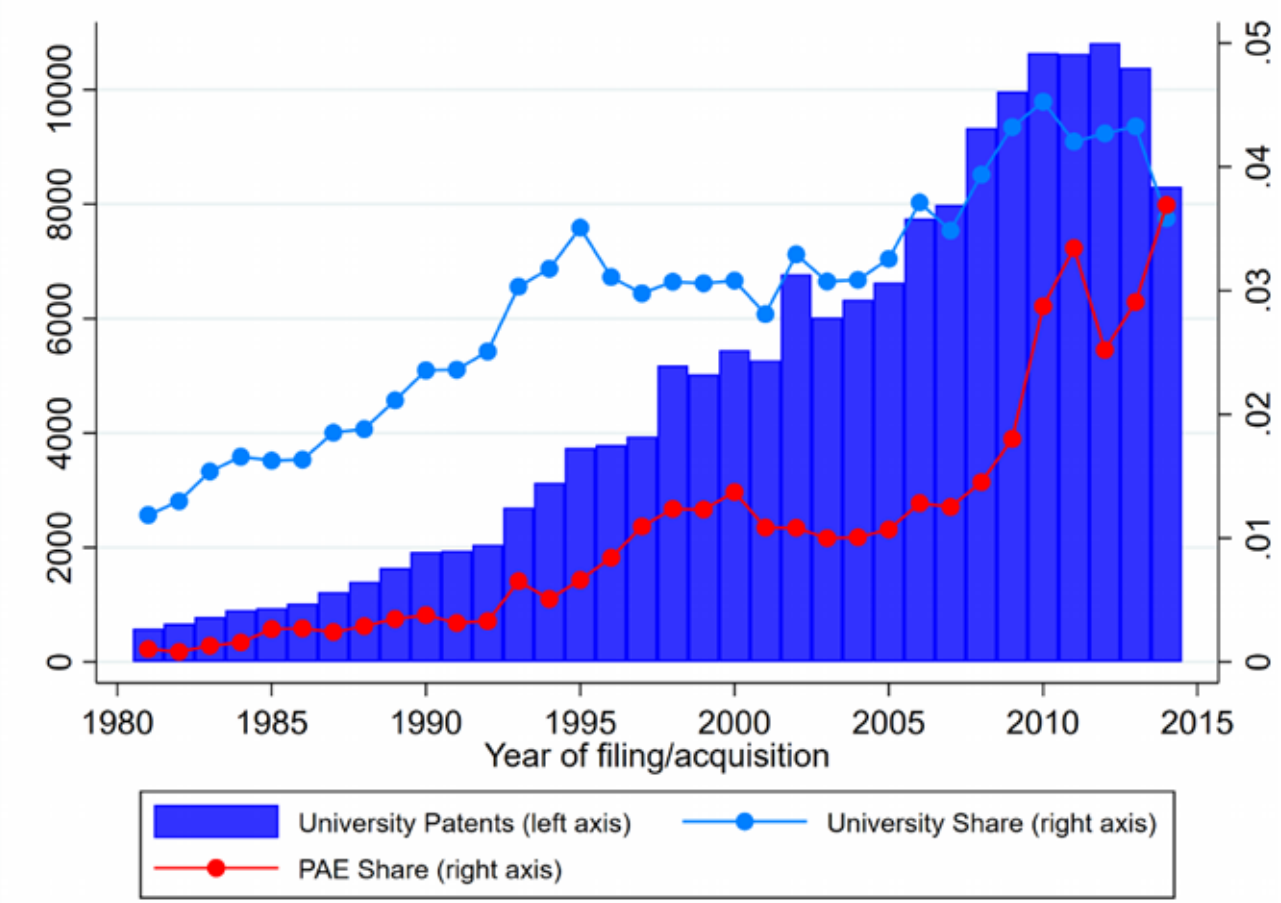
Litigation brings revenue, but costs reputation and relationships with industry.

Why it matters

Patents and licences attract industry funding and are counted in university rankings and evaluations.

Are universities patenting more?

US university patents, university share of all patents, and PAE share of patent acquisitions.



How to read it

- University patents grew from about 500 a year in the early 1980s to over 10,000 around 2010.
- Their share of all US patents rose from about 1% to over 4%.
- The growth starts after the **Bayh-Dole Act (1980)**.

Source: Ascione, Ciucci, Detotto & Sterzi (2023), USPTO data.

University patents and technology transfer offices

A university patent is a patent filed by a university on an invention developed inside the institution, with the aim of bringing academic research to the market.

Why universities patent

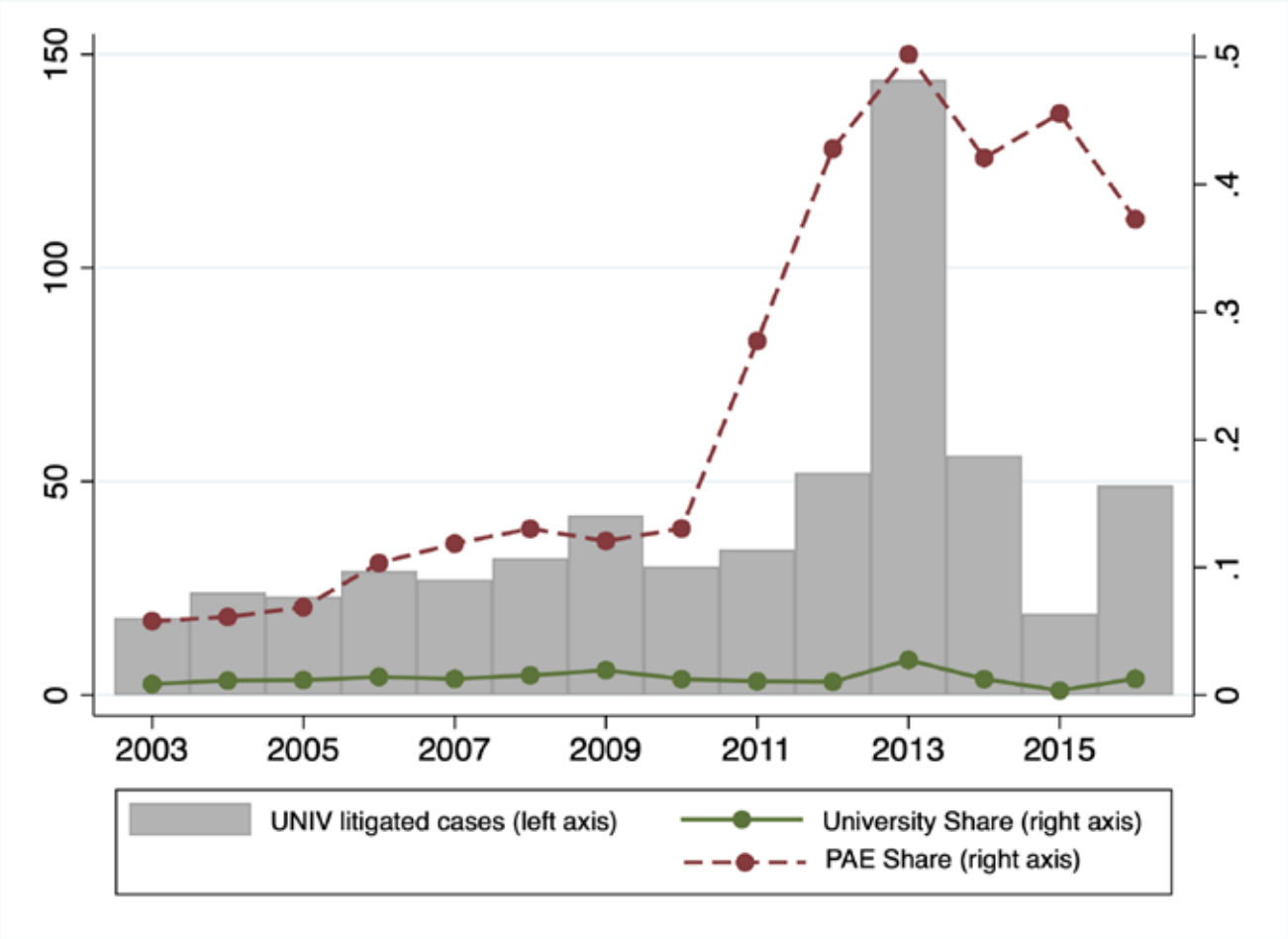
- Patents protect academic inventions and make their transfer to firms possible.
- They give universities and licensees an incentive to invest in development.
- Scientists can delegate the commercialisation of their discoveries to the TTO (Hellmann, 2007).
- **Bayh-Dole Act (US, 1980):** universities can own and license inventions from federally funded research.

The technology transfer office (TTO)

- **Searching:** it reduces information asymmetry: professors know the quality of an embryonic invention, firms know its commercial value.
- **Screening and signalling:** pooling inventions across departments, it builds a reputation and can shelve weaker discoveries to raise buyers' expectations.

Universities in US court

US patent cases started by universities, and the shares of universities and PAEs in all litigated cases.



How to read it

- University cases peak at about 145 in 2013.
- Universities stay a small share of all cases, while PAEs (a specific kind of NPE- presented later) reach about half of all US cases in 2013.

Litigation and technology transfer

In 171 US universities (1993–2016), one more year of litigation is followed by 3.6% fewer new licences, and 3% fewer exclusive licences, the next year.

Source: Ascione, Ciucci, Detotto & Sterzi (2023).

04

Non-practicing entities (2): companies

The secondary market for patents

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Why do NPEs exist? Four frictions in patent markets

NPEs are explained by failures in the market for patents, and by asymmetries in litigation.

Intermediation

They find undervalued patents and reduce information asymmetries between buyers and sellers.

Complementarity

They assemble complementary patents and license them together in one campaign.

Efficient enforcement

Inventors can transfer their patents to specialists in finding infringers, monitoring and litigating.

Hold-up: a firm invests in a technology without knowing about a patent; once it cannot go back, the owner asks for a royalty well above what it could have asked before the investment.

The advantage of NPEs: why they cannot be counter-sued

A counter-suit is the defendant's classic response to an infringement action: it sues back, claiming that the plaintiff's own products infringe the defendant's patents.

Between two producers

- Both sell products, so both can infringe each other's patents.
- Each side has something to lose: an injunction on its own products.
- This mutual threat pushes firms towards cross-licensing and settlement.

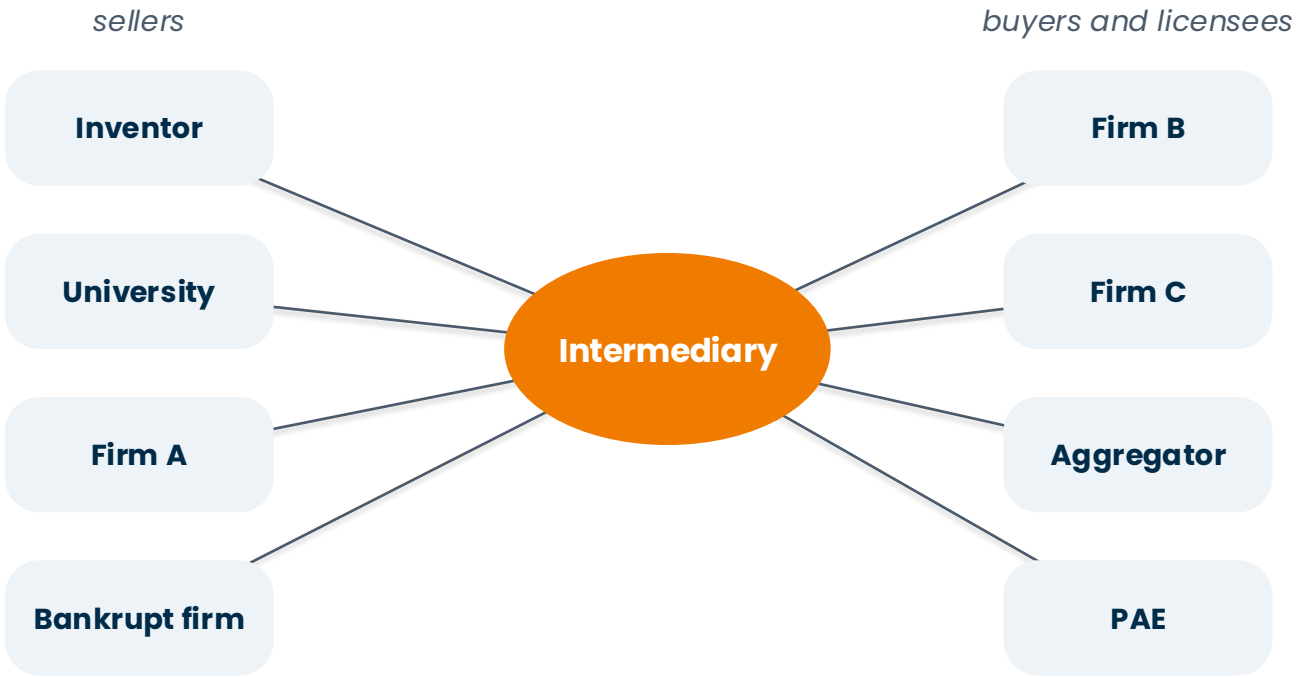
Against an NPE

- An NPE makes no products: there is nothing of its own that could infringe.
- So the defendant's patent portfolio is useless as a weapon.
- No customers, no reputation, no business to disrupt.
- The only defence left is to attack the validity of the patent, which is slow and expensive.

A large defensive portfolio protects a firm against rivals, but not against NPEs.

Intermediation

Patent intermediaries facilitate the transfer of patents between owners on the secondary market, where patents are bought, sold and licensed separately from the products they protect.



Why the position matters

- **Intermediaries have the highest betweenness: most transfers pass through them, while sellers and buyers rarely meet directly**.
- **Their value is the position, not the technology**: information on who owns what, and who needs what.
- Examples: brokers and auction houses (Ocean Tomo), pool administrators (Sisvel).

Patent aggregation

A patent aggregator is an NPE that accumulates large portfolios of patents bought from many owners, to license them as a package or to keep them out of the hands of others.

Offensive aggregators

- Buy patents to license and assert them: the portfolio is the product.
- Example: Intellectual Ventures.

Defensive aggregators

- Member companies pay a fee; the aggregator buys patents before PAEs can, and licenses them to members.
- Examples: RPX, Allied Security Trust.

The competition concern: aggregating substitute patents gives the buyer a monopoly position in the technology market, like a merger or a cartel.

Patent assertion (PAEs)

Patent assertion entities (PAEs) are NPEs, independent organizations that own or buy patents from other companies or inventors, with no intent to develop, produce or sell the related products, and that earn revenues by asserting those patents against alleged infringers.

Buy, do not invent

In most cases, but not always, they do no R&D: their patents come from the secondary market.

Assert

Revenues come from licensing demands, settlements and lawsuits.

Concentrated in ICT

Most of their activity is in information and communication technologies.

Two faces

They can reduce frictions in patent markets, or exploit and amplify them.

Patent privateers: operating companies behind PAEs

Patent privateering is a practice in which an operating company transfers patents to a PAE, which asserts them against others, while the company profits directly or indirectly.



- The sponsor transfers patents to the privateer.
- The privateer asserts them against targets.
- Revenues, or weaker rivals, flow back to the sponsor.

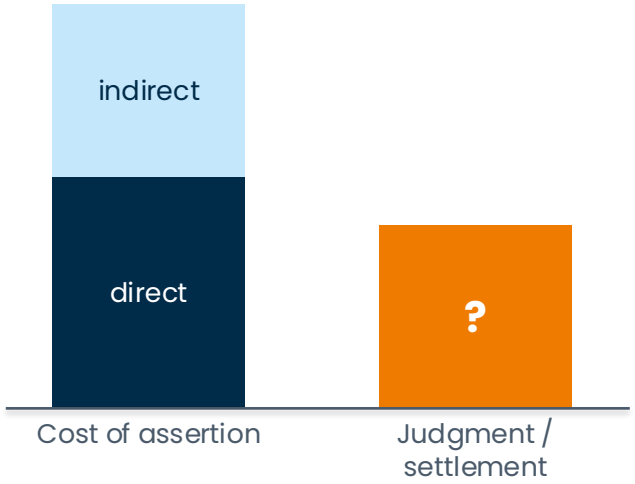
Why use a privateer?

- **Monetization:** the PAE is better at finding targets, negotiating and litigating.
- **Competition:** attacks by the privateer raise the costs of the sponsor's rivals.
- **No reputational cost:** aggressive demands come from someone else, important in standard setting.

The economics of assertion: why defendants pay

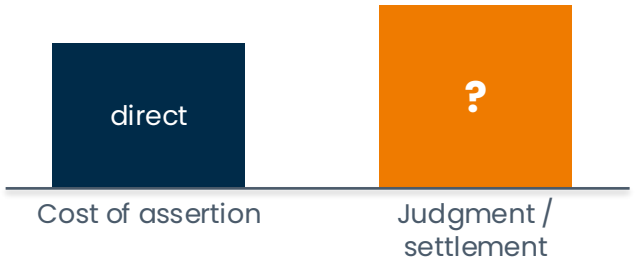
Litigation costs are asymmetric, and PAEs exploit the asymmetry

Traditional litigation



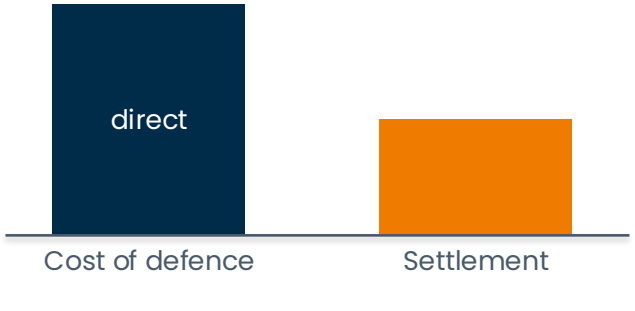
Asserting a patent **has direct costs (lawyers) and indirect costs (counter-suits, reputation, disruption)**. Against an uncertain judgment, suing is often not profitable.

PAE litigation



No products, so no counter-suits (as for any NPE) and no reputation to lose. Contingency-fee lawyers and the same patents asserted again and again lower direct costs too.

The nuisance-fee model



Defending costs more than asserting. It becomes cheap to sue, and cheaper for the defendant to settle, whatever the merits of the case.

Source: Chien (2012).

Out of 100 patent infringement lawsuits started in the US, how many are started by patent assertion entities?

5
a marginal phenomenon

20
one case in five

35
one case in three

56
more than half

And in Europe: more, the same, or fewer?

How many cases? PAE infringement actions

Infringement actions started by PAEs, and their share of all infringement actions, by jurisdiction.

Year	US	Europe	Rest of the world
2014	2,248 (53.8%)	48 (12.6%)	12 (1.2%)
2015	3,206 (63.4%)	47 (10.7%)	11 (1.0%)
2016	2,137 (56.0%)	53 (12.0%)	9 (0.6%)
2017	1,756 (53.2%)	62 (12.2%)	11 (0.7%)
2018	1,514 (50.9%)	30 (7.8%)	28 (1.5%)
2019	1,619 (51.8%)	38 (11.1%)	27 (1.9%)
2020	2,073 (58.3%)	18 (7.5%)	16 (0.9%)
2021	2,150 (60.9%)	22 (7.6%)	14 (1.1%)
2022	1,746 (52.6%)	30 (10.9%)	14 (2.3%)
Average	2,050 (56.0%)	39 (10.0%)	14 (1.0%)

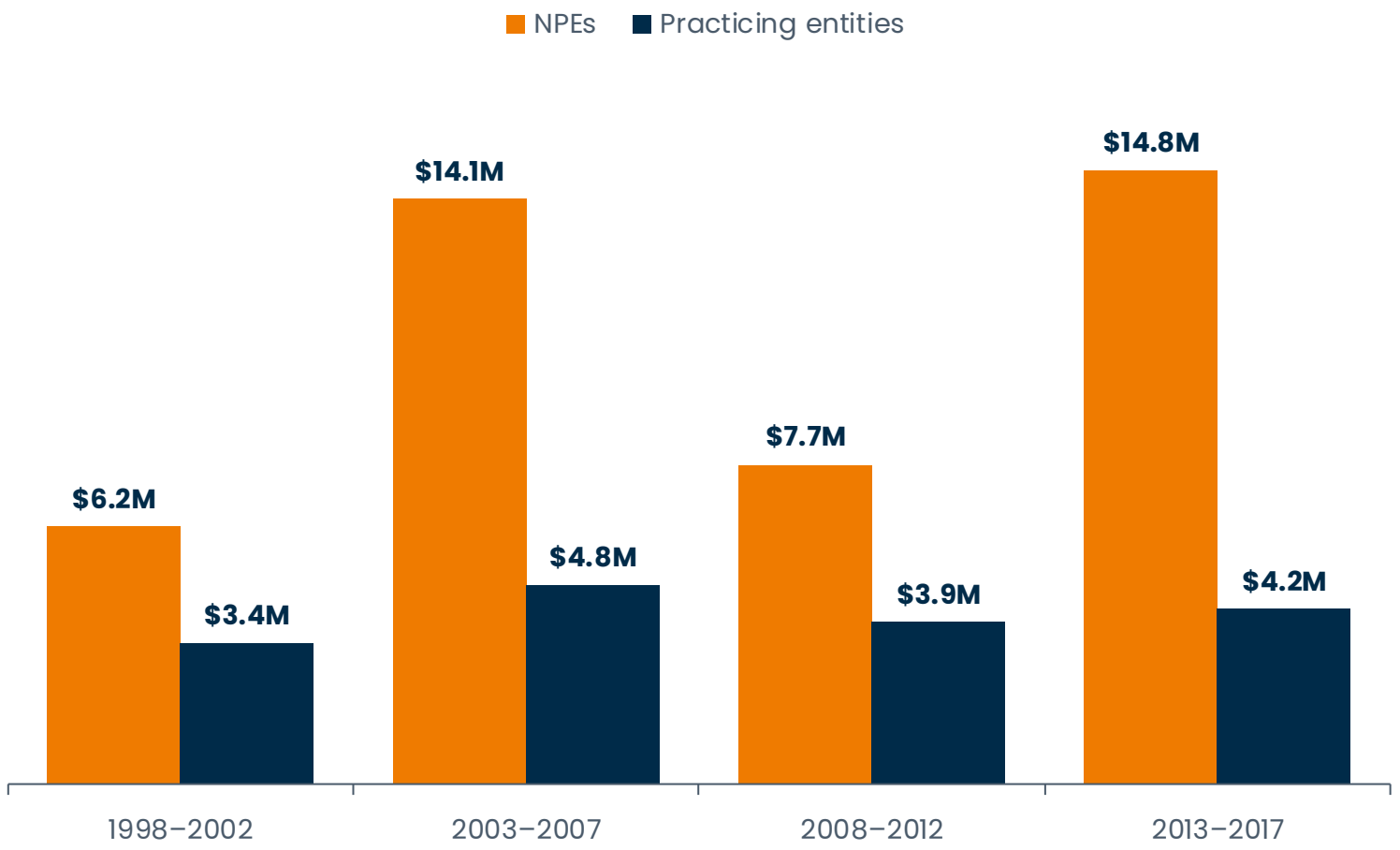
How to read it

- PAEs start **56% of US infringement actions** on average (2014–2022), with a peak of 63% in 2015.
- **In Europe the share is about 10%, in the rest of the world about 1%.**
- Patent assertion is mostly a US phenomenon.

Source: Clarivate Darts-IP data, elaboration in Righi & Sterzi (2024). Year = start of the case.

PAEs win bigger damages

Median damages awarded in US patent cases, $ million: NPEs vs practicing entities.

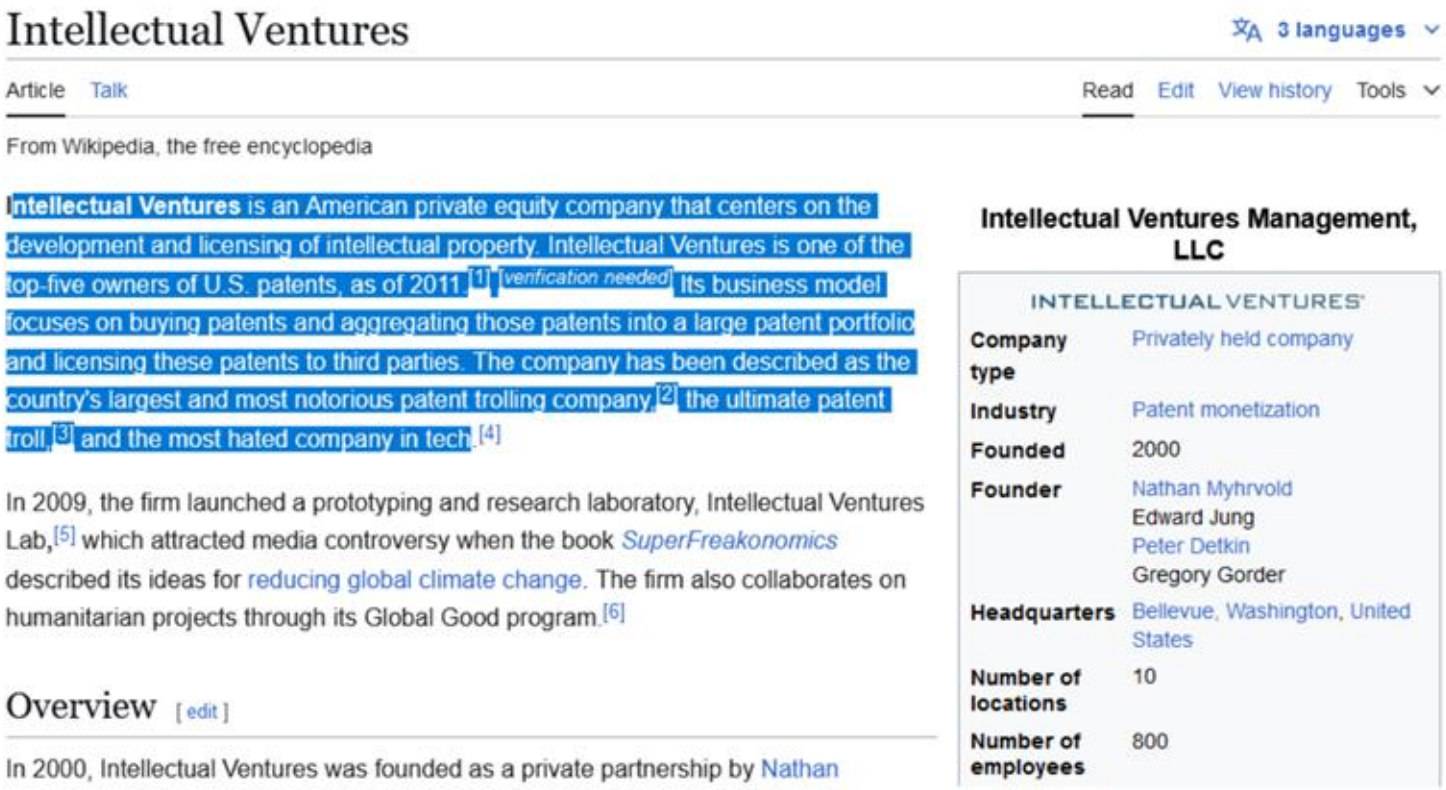


A recurring pattern

- In 2013–2017 the median NPE award was about 3.5 times that of practicing entities ($14.8M vs $4.2M).
- **NPEs have obtained higher median awards than operating companies since the early 2000s.**
- Higher stakes make assertion profitable, and settlement attractive for defendants.

Source: PwC, 2018 Patent Litigation Study (US data).

An example: Intellectual Ventures



Intellectual Ventures

3 languages

Article Talk Read Edit View history Tools

From Wikipedia, the free encyclopedia

Intellectual Ventures is an American private equity company that centers on the development and licensing of intellectual property. Intellectual Ventures is one of the top-five owners of U.S. patents, as of 2011.[1] [verification needed] Its business model focuses on buying patents and aggregating those patents into a large patent portfolio and licensing these patents to third parties. The company has been described as the country's largest and most notorious patent trolling company,[2] the ultimate patent troll,[3] and the most hated company in tech.[4]

In 2009, the firm launched a prototyping and research laboratory, Intellectual Ventures Lab,[5] which attracted media controversy when the book *SuperFreakonomics* described its ideas for reducing global climate change. The firm also collaborates on humanitarian projects through its Global Good program.[6]

Overview [edit]

In 2000, Intellectual Ventures was founded as a private partnership by Nathan

Intellectual Ventures Management, LLC

INTELLECTUAL VENTURES

Company type	Privately held company
Industry	Patent monetization
Founded	2000
Founder	Nathan Myhrvold Edward Jung Peter Detkin Gregory Gorder
Headquarters	Bellevue, Washington, United States
Number of locations	10
Number of employees	800

Why it matters

- Founded in 2000, it buys patents, aggregates them into a large portfolio and licenses them to third parties.
- **One of the top-five owners of US patents in 2011**.
- Often described as the largest and most notorious patent troll in the US.
- It combines the roles of aggregator, licensing company and PAE.

Source: Wikipedia, "Intellectual Ventures".

NPEs and innovation: help or tax?

Hypothesis 1: NPEs help

They give inventors **competences**, **capital** and **bargaining power**, making the market for technology more efficient.

Hypothesis 2: NPEs tax

They impose **a tax on firms** that produce and innovate in the fields where they are active.

What the evidence says

- NPEs target firms with cash.
- NPE patents are litigated closer to expiry than those of producing firms.
- Patents acquired by NPEs are cited less afterwards: less follow-on innovation.

- Patents bought by large NPEs are of higher quality than those traded between producers .

05

Strategic choices after grant (1): patent litigation

Choice 3: how, against whom and where to enforce

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A patent is a right to try to exclude

The patent right is the right to exclude others from making, using, selling or importing the invention. It is a **negative right**: it does not give the right to practise the invention.

Probabilistic patents

- **A patent does not guarantee exclusion: it gives the right to try to exclude by asserting it in court.**
- Asserting it is risky: if the court finds the patent invalid, the owner loses the right altogether.

Where the value comes from

- **The patent premium flows from the right to exclude**.
- In practice it flows from litigation or, much more often, from the threat of litigation.

Two kinds of disputes

A patent can be attacked (invalidity) or used to attack (infringement).

Invalidity actions

- **Definition:** a challenge claiming that **a granted patent should not have been issued.**
- **Where:** at the patent office (opposition, PGR, IPR) or in court, in any country where the patent is granted.
- **When:** at the office within time limits; in court at any time.
- **Cost:** a full trial in court, often above $500,000.

Infringement actions

- **Definition: a lawsuit by the patent holder against someone who makes, uses, sells or imports the invention without permission.**
- **Where:** in court only.
- **Typical defence:** the defendant counter-attacks the validity of the patent, or counter-sues with its own patents.

Why sue? Competition and monetization

The same lawsuit can serve two different strategies from plaintiff's perspectivve

Competition: the defendant is a rival

- **Protect market share:** keep competitors away from the patented technology.
- **Strengthen bargaining power:** show that the patents are enforceable before mergers, acquisitions or deals.
- **Deter:** show other potential infringers that copying will be met with legal action.

Examples

Polaroid v. Kodak (US, 1976–1991). Polaroid sued its rival over instant-photography patents. Kodak lost, left the instant camera market in 1986 and paid about $925 million.

Apple v. Samsung (2011–2018). Smartphone design and feature patents, between the two leaders of the market: a jury verdict of about $1 billion in 2012, a settlement in 2018.

Monetization: the defendant is not a rival

- The patent holder is not fighting for the product market.
- The goal is to collect royalties from anyone who uses the technology.
- This is the business model of non practicing entities (NPEs)

Example

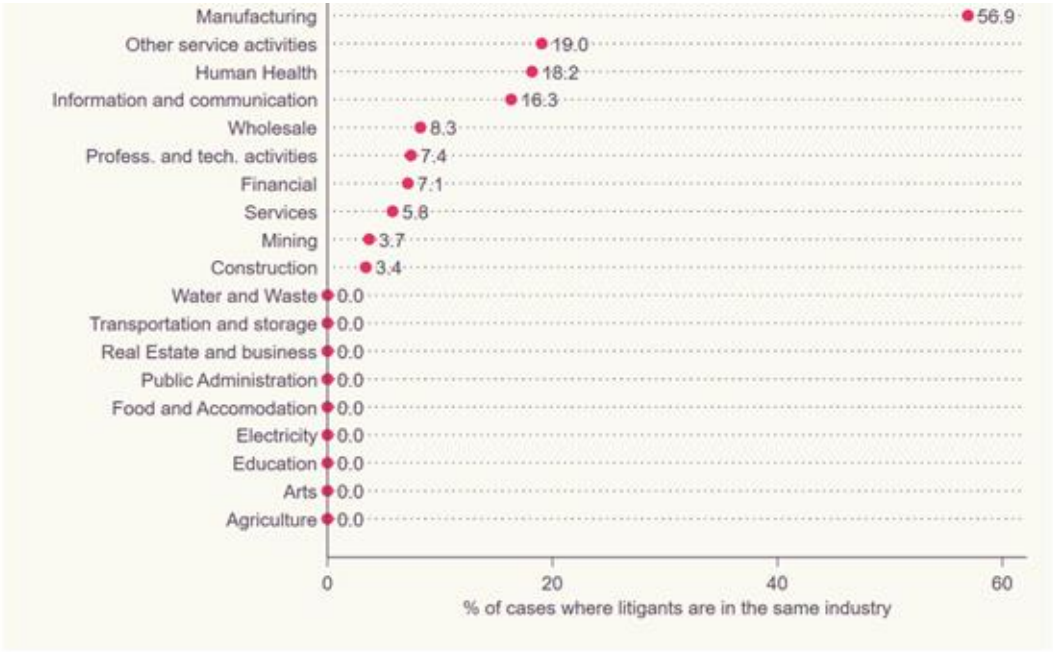
NTP v. Research In Motion (US, 2001–2006). NTP, a small company with no products, sued the maker of the BlackBerry over wireless e-mail patents. Facing an injunction that could switch off BlackBerry in the US, RIM paid $612.5 million.

Most cases started by patent assertion entities follow this logic.

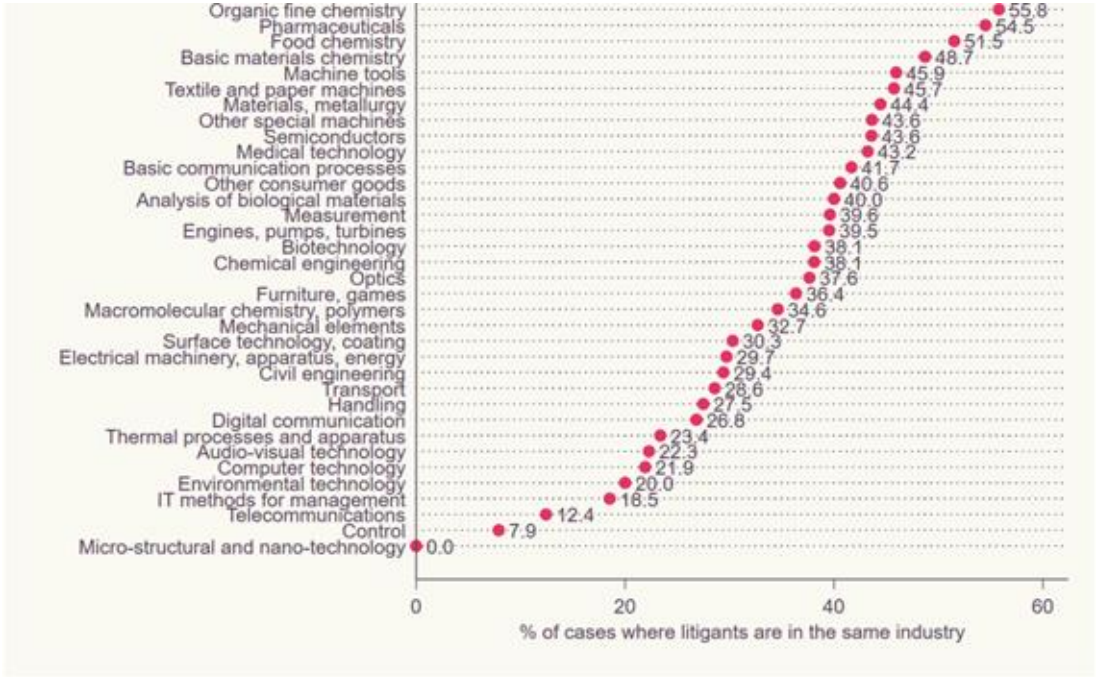
Who sues whom? Litigants in the same industry

Share of European infringement cases (2010–2020) where plaintiff and defendant belong to the same industry.

By sector of the defendant



By technology of the patent

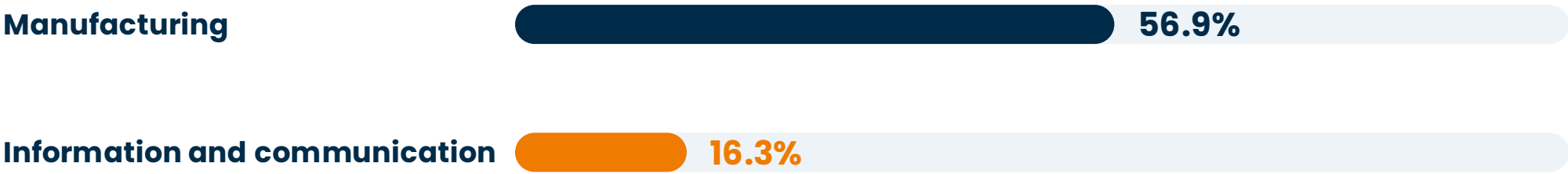


In manufacturing 57% of cases are between firms of the same industry, in ICT only 16%. Pharma and chemistry litigate against competitors; telecoms and IT often litigate to monetize.

Source: Fusco and Sterzi (2024).

Why ICT?

Share of European patent cases (2010–2020) in which plaintiff and defendant belong to the same industry, by sector of the defendant.



In manufacturing, firms mostly sue their rivals. In ICT, most patent cases come from outside the industry.

Why is the dynamic so different in ICT?
And what does it tell us about ICT patents?

Think about how many patents a single smartphone uses · who owns them, besides the firms that make phones

Choosing the target: litigation along the supply chain

Direct infringement: the defendant is the original implementer of the patent (67% of US cases).
Indirect infringement: the defendant is downstream, using or selling the product (33%).

Five defendants, one technology: all sued over patents on chips

Cypress
chip maker

→

Huawei
telecom units for connected cars

→

Daimler
car maker

→

Deutsche Telekom
sells hardware with mobile contracts

→

A US coffee shop
uses Wi-Fi

upstream: direct infringer

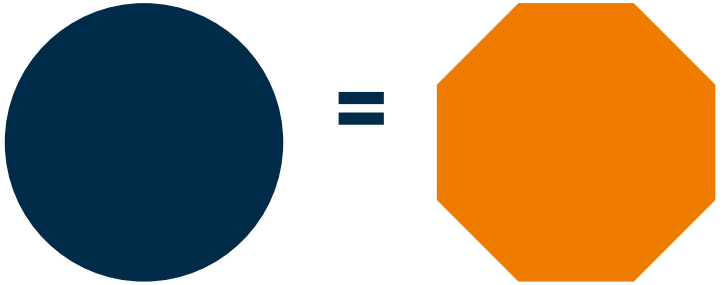
downstream: indirect infringers

How far does a claim reach? The doctrine of equivalents

Doctrine of equivalents: a product can infringe even if it does not literally fall within the claim language, when its elements are equivalent to the claimed ones.

Winans v. Denmead (US Supreme Court, 1853)

- The patent: a coal car with a circular, conical body that spreads the pressure of the load.
- The defendants built the same car with an octagonal body.
- Trial court: no infringement, because an octagon is not a circle.
- Supreme Court: courts must look through the form for the substance of the invention.



patented accused

How equivalence is tested

- **Triple identity:** same function, same way, same result.
- **Insubstantial differences:** are the differences overall insignificant?

It widens patent scope beyond the words of the claims, so designing around a rival's patent is less predictable.

Injunction or royalty? Two remedies

If infringement is found, how should the right to exclude be protected?

Property rule: permanent injunction

- **Definition: the court orders the infringer to stop**; nobody can use the invention without the owner's consent.
- **Where:** allowed in many countries (US, DE, FR, IT…); almost automatic in Germany.

Liability rule: reasonable royalty

- **Definition:** the infringer may keep using the invention, but must pay a **royalty** set by the court.
- **Effect:** the owner is paid, but cannot exclude.

Why prefer the injunction?

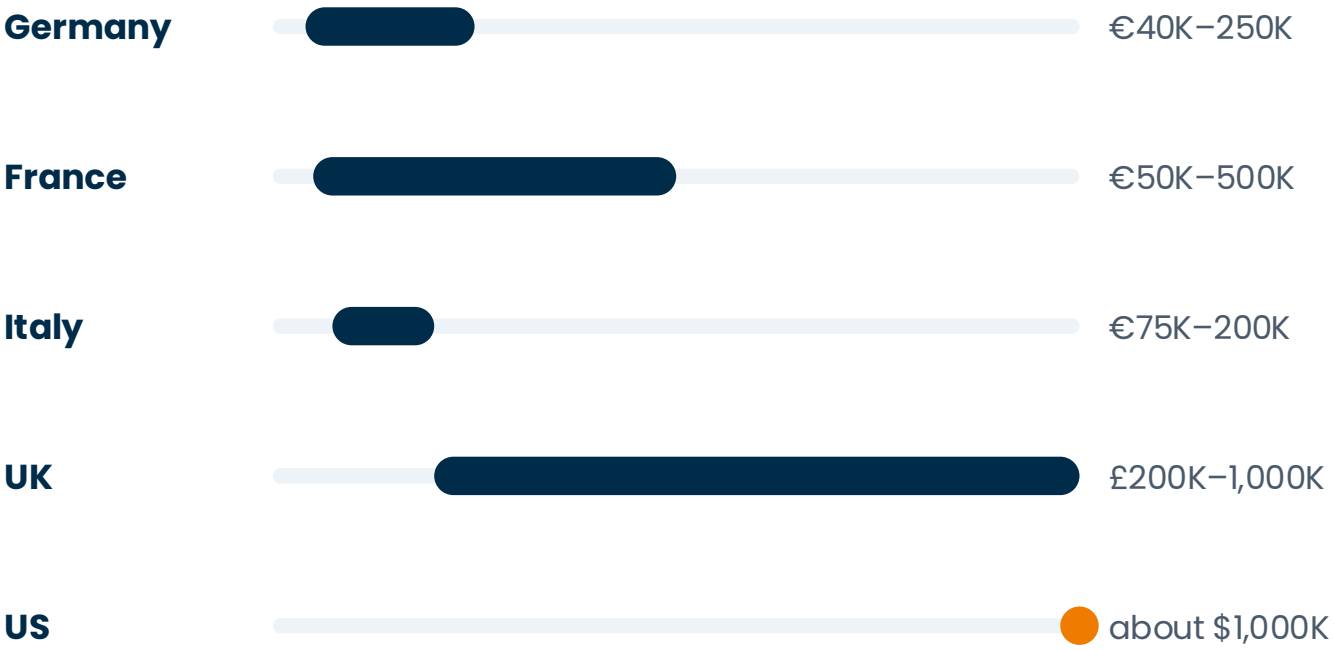
- It is the only remedy that truly enforces a right to exclude.
- Refusing it invites infringers to wait for better terms from a court.
- Strong incentives to license, settle and check patents before launching.

Why prefer the royalty?

- Proportionality: the patent may cover only a small component of a product.
- The infringer may have made investments specific to the technology.
- The threat of an injunction lets owners extract settlements even for low-value patents.

How much does litigation cost?

Average legal costs at first instance, by country (local currency, thousands).



Contingency fees

- The lawyer is paid only out of damages won: in the US, 30–40% of the recovery.
- Often illegal outside the US.

Who pays the legal fees?

- **American rule:** each party pays its own lawyers (except in 'exceptional cases').
- **English rule:** the loser pays its own costs and those of the winner.

Most disputes end in a settlement

A settlement is an agreement between the parties to end a dispute, before or during litigation, or even after a judgment (e.g. pending appeal).

Forms

- **A licence: the infringer becomes a licensee, often with retroactive royalties or a lump sum.**

Why settle?

- Avoid legal costs.
- Avoid the uncertainty of the outcome.
- Avoid reputational damage.

Which cases reach a trial?

- It depends on legal costs, the probability of winning, the value of the patent and antitrust rules.
- Trials are a small, unusual subset: win rates at trial do not describe all disputes.

Litigation data show only the visible tip of patent disputes; most end privately.

06

Strategic choices after grant (2): licensing

Earning from patents without (only) using them

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What is a patent licence?

A licence is the **permission granted by the owner of an IP right to another person or organization to use it, on agreed terms and conditions.** Unlike trademarks, patents need not be used: the owner can just license them.

Type of licence	Owner can use	Licensee can use	Other licensees
Exclusive	no	yes	no
Sole	yes	yes	no
Non-exclusive	yes	yes	yes

The royalty

- A percentage of the price, a fixed fee or a share of profits.
- For simple products: on average 3–5% of the price.
- Fixed, or rising as the technology becomes established.
- No fixed rules: it is negotiated.

Why license out? Five reasons

Earn from rivals

License your best, low-cost technology to rivals already in the market.

Reach new markets

Grant licences in regions, industries or segments where you are not present.

Lower taxes

Licensing income is often taxed less than manufacturing income.

Get around barriers

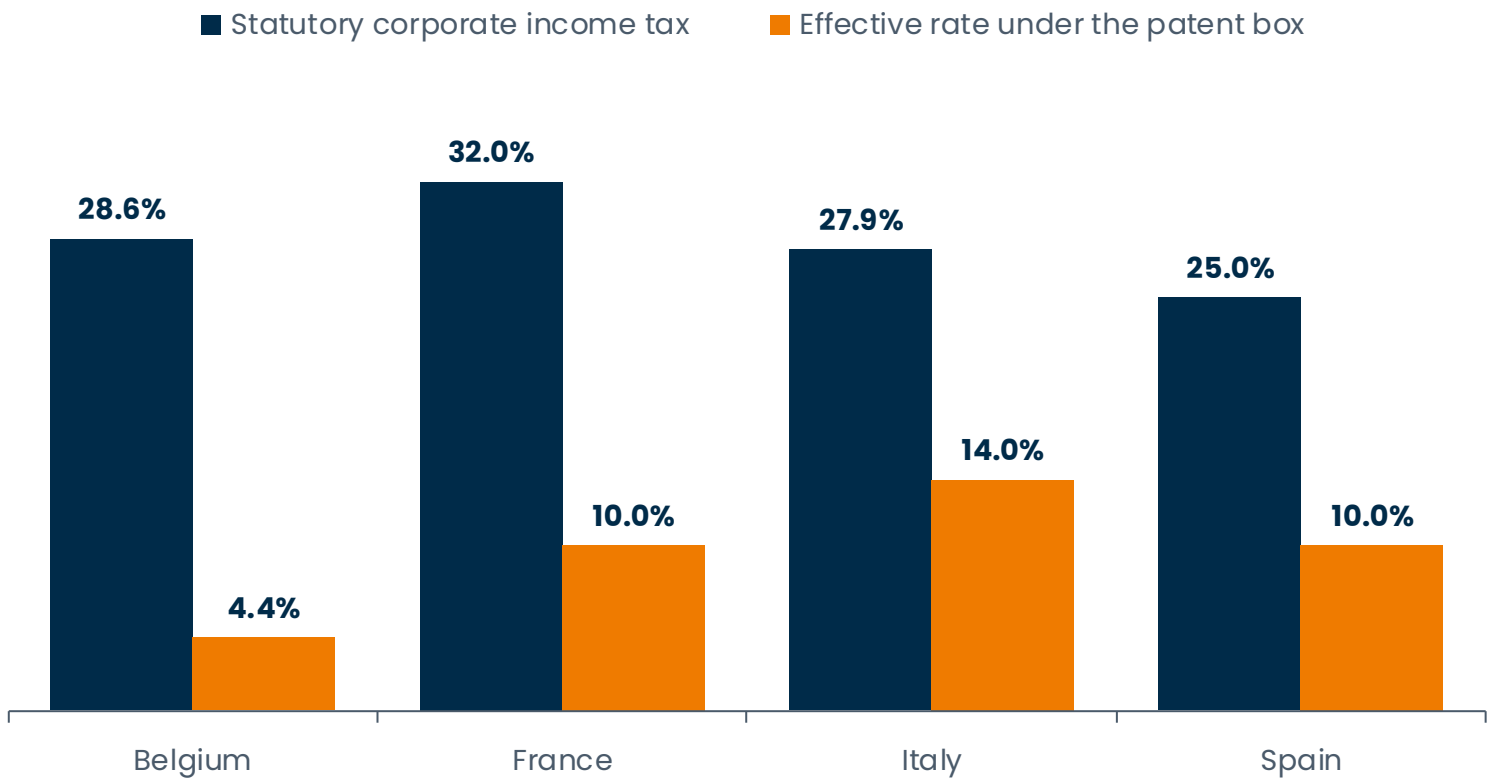
Enter markets closed to imports, avoid export taxes, limit the risks of going abroad.

Revenue when products decline

“Formerly manufacturing companies”: Ericsson, Nokia, Technicolor, Panasonic, IBM.

Patent boxes: licensing and taxes

A patent box is a tax regime that applies a lower effective tax rate to income derived from IP, to attract R&D and encourage firms to locate their IP in the country.



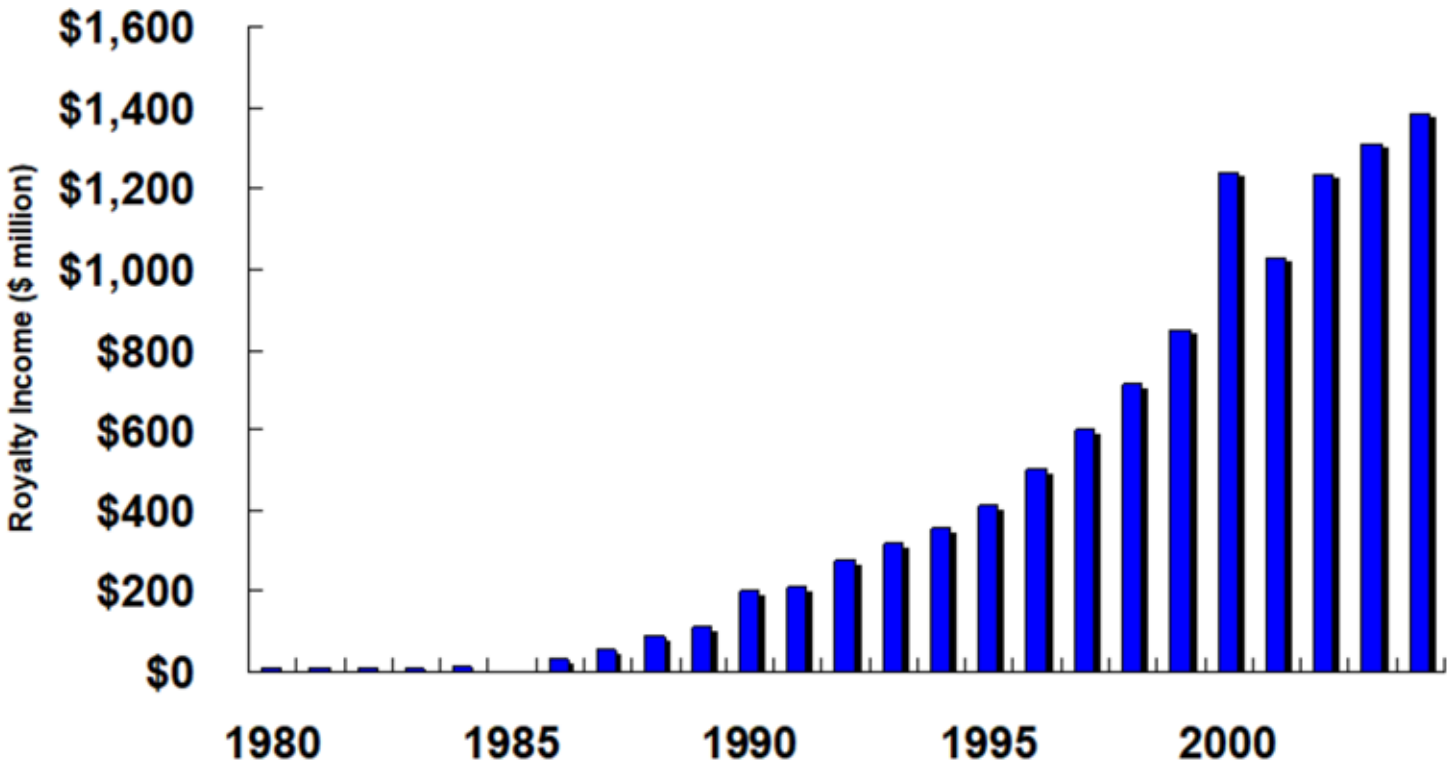
Source: taxfoundation.org (OECD data, rates as of 2020).

Why it matters for strategy

- Patent boxes are widespread in Europe; most were introduced in the last two decades.
- The gap between the two rates is an incentive to license from, and locate IP in, low-tax countries.

Universities license too

Royalty income to US academic institutions, $ million.



How to read it

- Almost zero before the mid-1980s.
- Steady growth after the Bayh-Dole Act, to about $1.4 billion a year in the early 2000s.
- **Licensing, not litigation, is the main channel of university technology transfer.**

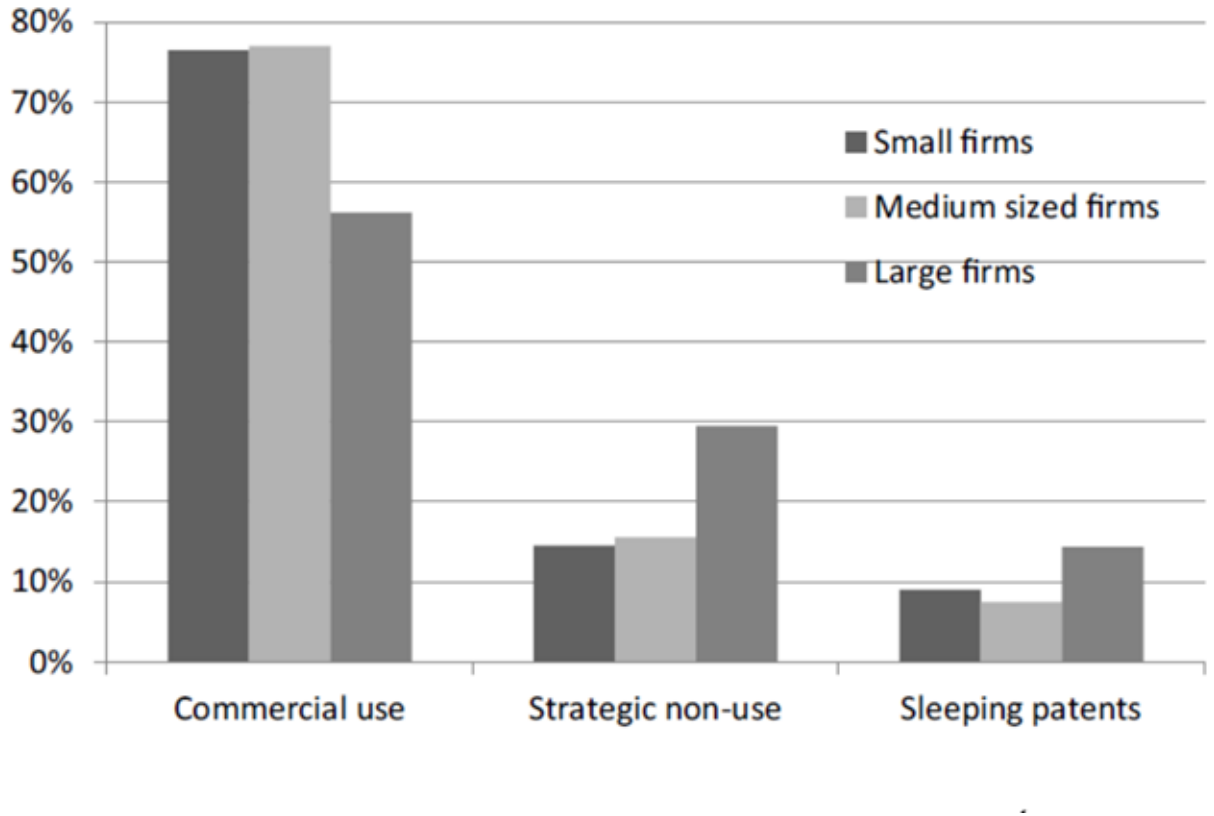
The downside of licensing

Licensing brings revenue, but every licence gives away part of the control over the technology.

The risk	What can go wrong	How firms limit it
Finding the right licensee	It can take a lot of effort and determination.	Use brokers and intermediaries
Loss of control	You rely on the licensee's ability to commercialise your patent.	Performance clauses, minimum royalties, the right to terminate if the licensee does not commercialise.
Creating a competitor	Licensing transfers knowledge: you may create competition for yourself.	Limit the field of use and the territory, license non-core technologies, add grant-back clauses.

The opposite of licensing: sleeping patents

A sleeping patent is granted but neither used nor licensed by its owner.



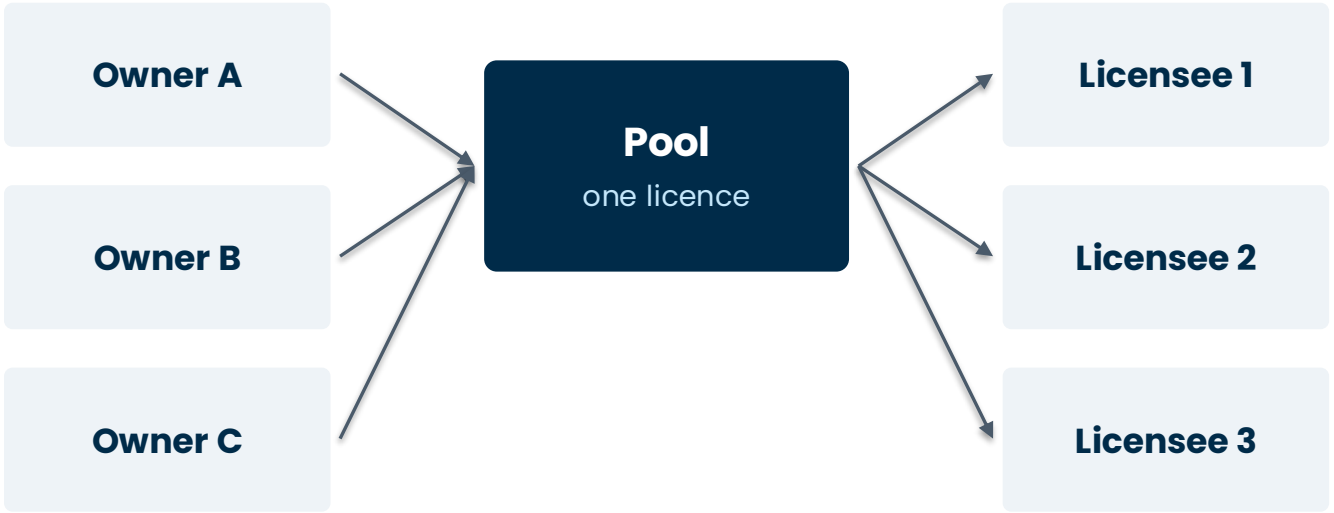
Why keep a patent asleep?

- **Strategic non-use:** fence off similar inventions, or defend against lawsuits.
- **Sleeping: wait for better market conditions or for future development.**
- A monopolist gains more by keeping a rival out than the rival would pay for a licence.
- Large firms keep more patents unused: about 30% strategic non-use and about 15% sleeping.

Source: Torrisi et al. (2016)

Patent pools

A patent pool is an agreement between two or more patent holders to license their patents together, as one package, to third parties.



Where pools are used

- Industries where many technologies must work together, or where overlapping patents are needed for one product or standard.
- Examples: MPEG LA (video coding), Bluetooth, Wi-Fi 6 (Sisvel).
- One licence instead of dozens of separate negotiations.

Royalties are shared among the owners.

Joining a pool means giving up exclusivity in exchange for adoption of the technology and a steady stream of royalties.

When are patent pools a problem?

Anti-competitive behaviour

Pool members cross-license and coordinate: they could set higher prices or keep new entrants out. In extreme cases a pool works like a cartel.

Royalty stacking

If the pool includes too many patents, including irrelevant or low-value ones, users pay excessive royalties, and so do consumers.

Abuse of standard-essential patents

Pools often include SEPs: members may demand unreasonable fees once firms are locked into the standard (hold-up).

Guess the strategy

1

Nokia stops making phones, but keeps earning more than €1 billion a year from its patents.

2

A tech company transfers 2,000 patents to a PAE, which then sues the company's main rivals.

3

A patent owner sends letters to hotels and coffee shops because their Wi-Fi routers infringe.

4

A pharma firm keeps a granted patent on a molecule it will never sell, so that no rival can use it.

ALTERNATIVES: downstream targeting · privateering · licensing out · strategic non-use

Questions?

Tomorrow
Patent intelligence and landscaping · Tuesday 20 October, 17:30–19 Room R3

Next PW tutorial
Landscaping tutorial 1: patent attributes · Wednesday 21 October, 13:00–14:30 · Room R3

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